

HEDGEYE DAILY DIGEST

Wednesday, September 30, 2026 (GMT+8)

Covering Hedgeye publications of Sep 29 & Sep 28 (GMT+8)

Hedgeye is leaning harder into a **late-cycle #Quad2: Dollar Up, Rates Up**. The **UST 2yr** yield pushed to a new cycle high near **4.95%** against a Risk Range top of **5.00%**, and the **10yr** range now runs **5.03-5.29%** - the top end matching the **2007** peak. The book stays long **Healthcare (XLV)**, **Energy (XLE)**, **Bitcoin** and the **USD** versus short **Treasuries (TLT/ZROZ)**, **High Yield (HYG)** and **Small Caps (IWM)**, while **Brent was cut to minimum size** and flow risk (a possible **~\$30B** of mechanical selling) argues against chasing the index.

This run fired at 07:17 GMT+8 on Sep 30, before the U.S. session opens, so nothing has yet been published on Sep 30 (GMT+8). Following the digest's weekend-gap rule, the most recent publishing day (Sep 29 GMT+8, i.e. U.S. Tuesday morning Sep 29 plus Monday afternoon Sep 28 EDT) is covered as "Today" and Sep 28 GMT+8 as "Yesterday". All times below are GMT+8.

Today's Publications (Sep 29, GMT+8)

EARLY LOOK

Choosin' #Quad2 Texas

Early Look | Keith McCullough | Sep 29, 19:27 GMT+8

Keith McCullough marks his **27th year** in the business with a Nolan Ryan analogy: longevity is the by-product of doing the daily work properly, and the macro equivalent is sticking with the process rather than reacting to headlines about **Iran, Oil or Diesel**. Instead of a pitch count he is watching the **Quad Count**.

Quad positioning: the U.S. economy accelerated into a **monthly #Quad2 in September 2026**, and the nowcast shows **four of the next five months** tracking #Quad2 through **January 2027** (the model reads the sequence as **2-2-1-2-2**). The fractal signature of this #Quad2 is simple: **A) Dollar Up, B) Rates Up**, with both the **USD Index** and **Treasury yields** signalling higher cycle highs.

Rates detail: the **UST 2yr** Alpha Code is **4.55/4.30** with a Risk Range of **4.74-5.00%**; the **UST 10yr** Alpha Code is **4.90/4.70** with a Risk Range of **5.03-5.29%**. The tell for exhaustion will be when those ranges start printing **lower highs** - until then Hedgeye stays **short Treasuries via TLT and ZROZ**.

Investment implication: stay positioned for #Quad2 - long the Dollar and the rate move (short duration), long growth/energy/healthcare exposures that screen bullish, and avoid rate-sensitive, levered assets (HYG, LQD, Russell 2000, Gold, Silver are all **bearish TREND**).

Risk Range™ Signals

Asset	Risk Range	TREND
10-Year U.S. Treasury Yield (UST10Y)	5.03-5.29%	Bullish
High Yield (HYG)	77.35-78.37	Bearish
Investment Grade Corp Bond ETF (LQD)	102.0-104.6	Bearish
S&P 500 (SPX)	7552-7796	Bullish
NASDAQ Composite (COMPQ)	26505-27596	Bullish
Russell 2000 (RUT)	2791-2884	Bearish
Health Care SPDR (XLV)	167-173	Bullish

Asset	Risk Range	TREND
iShares Tech-Software (IGV)	103-109	Bullish
Energy SPDR (XLE)	61.00-64.96	Bullish
Volatility Index (VIX)	14.22-17.54	Bearish
U.S. Dollar Index (USD)	100.27-101.79	Bullish
WTI Crude Oil (WTIC)	87.09-102.87	Bullish
Natural Gas (NATGAS)	2.83-3.35	Bullish
Gold Spot (GOLD)	4100-4291	Bearish
Copper Spot (COPPER)	6.44-6.78	Bullish
Silver Spot (SILVER)	58-64	Bearish

KM'S TOP 3 THINGS

September 29th - Access Show, Slide Deck & Top 3 Things

The Macro Show / From the Desk | Keith McCullough | Sep 29, 20:35 GMT+8

Headline call: a "glaringly obvious" **#Quad2** across market signals, sectors and factors.

1) UST 2yr Yield keeps front-running Hedgeye's above-consensus CPI nowcast - implying a Fed that reacts **hawkishly on a lag** to late-cycle inflation - with the top of the Risk Range at a new cycle high of **5.00%**. **Long USD** remains the other pillar; **Long Bitcoin** and **Short Gold** are the two best TRADE correlations versus the Dollar.

2) Sectors: the sector-style book keeps working - long **Healthcare (XLV +0.3% on the day, +7.9% QTD)** and **Energy (XLE +0.1%, +16.9% QTD)** versus short **Consumer Discretionary (XLY -1.4%, -7.1% QTD)** and **Financials (XLF -1.2%)**, with the flattening-curve call becoming more consensus.

3) Factors: wild divergences - **High Beta Momentum +2.0%** while the **High Retail Sentiment** basket fell another **-3.5%**. Still **short Small Caps (IWM)**, now in an **-8.2%** drawdown from its cycle peak. Immediate-term ranges: **SPX 7552-7796, UST 10yr 5.03-5.29%**.

MOMO TRACKER

MOMO Tracker | Mag7 (-1.7%), High Beta Momo (+2%), TSLA=BEARISH, Factors & Glaringly Obvious Quad2

Momentum Stock Tracker | Christian Drake, Ryan Ricci | Sep 29, 20:36 GMT+8

The Tracker's body is published as chart/table images that could not be extracted as text, so this summary is based on the headline and the related show commentary.

The **Mag7** basket fell **-1.7%** while **High Beta Momentum** gained **+2%**, a sharp intra-growth divergence. **Tesla (TSLA)** has flipped to **BEARISH** (it was Neutral a day earlier); on the Macro Show, McCullough flagged both **Tesla and Amazon** as bearish TREND within Consumer Discretionary. Factor behaviour is described as consistent with a "glaringly obvious" **#Quad2**.

MACRO SHOW SUMMARY NOTES

Summary Notes & Replay | Tuesday, September 29th, 2026

The Macro Show | Keith McCullough & Daryl Jones | Sep 29, 22:32 GMT+8

Positions mentioned - Bullish: XLV, XLE, PFI, CLO, PANW, BUG, CVI, Brent, BTC, ETH, DXY.
Bearish: TLT, ZROZ, XLY, XLF, XLI, IWM, India (INDA), Australia (EWA), Germany (EWG), Switzerland (EWL), Qatar (QAT), HYG, Gold.

Rates: the 2yr reached about 4.94-4.95%, close to the 5.00% range top. McCullough reads it together with the **Dollar breakout**: markets are pricing more Fed tightening because the Fed reacts late to inflation. The **TLT short** was called "spectacular"; **ZROZ** is part of the same trade. The 10yr range of 5.03-5.29% tops out near the **2007 peak**, though he stressed that is not a forecast - the signal to watch is the range producing **lower highs**, consistent with a growth/inflation trough in 2027.

Equities: the SPX range is a "fair fight" (about 1.7% downside vs 1.5% upside), supporting a balanced long/short book. He is **buying CVR Energy (CVI)** on the dip and bought **BUG** on prior weakness. **Russell 2000** made new lows (~8.2% below peak) and stays a core short. VIX remains in the "investable" bucket.

Flow risk: citing Tier 1 Alpha, gamma is drifting toward flat/negative and a one-month/three-month crossover is near, which could unleash ~\$30B of net selling during the **buyback blackout**. Failed zero-day call buying in **SPY** and **Nvidia** is a warning against chasing upside.

Position changes: **Brent cut to minimum size** (WTI printed its first significant **lower high**) and part of the **crack-spread** position sold. **Gold** remains bearish; **Copper** is bullish TREND but bearish TRADE. **Bitcoin and Ethereum** longs stay, with dips to be bought. **PFI** (bond volatility) and **CLO** (AAA CLOs) are the preferred fixed-income expressions. **HYG** short maintained as spreads push toward/above 300bp. Global shorts (India, Australia, Germany, Switzerland, Qatar) remain.

Nvidia: the \$150B **buyback** drew skepticism - Jones argued a growth company redirecting capital to buybacks can be read negatively, and McCullough noted **NVDA gained only ~1.7%** on the news; if it starts making lower highs, the price signal will outweigh management's messaging.

CAPITAL ALLOCATION PRO

Daily Dashboard | Model Portfolios + Model Portfolio Changes | Effective 9/28/2026

Capital Allocation Pro | Andrew Nanai, David Salem | Sep 29, 00:36 & 21:15 GMT+8

The Capital Allocation team announced **Model Portfolio changes effective at the close on Monday, September 28, 2026**, followed by the Daily Dashboard confirming they took effect. This is the first model change since the 9/17 rebalance.

The specific buys/sells and sizing are published only as an image/PDF table, which could not be extracted as text - check the CAP dashboard for the exact line items. Given the same-day ETF Pro and Macro Show commentary (Financials and Mexico added as shorts; Gold and Brazil removed as longs; Brent trimmed), the direction of travel is toward **more #Quad2-consistent positioning**.

SIGNAL STRENGTH STOCKS

Signal Strength Stocks: 54 Stocks (2 added, 1 removed)

Signal Strength Stocks | Sep 29, 22:54 GMT+8

The list grew to **54 stocks**. **Added: Roku (ROKU)** - Andrew Freedman, Communications, entry **\$152.02**, ranked **7/8**; **Warby Parker (WRBY)** - Brian McGough, Retail, entry **\$26.85**, ranked **1/25**. **Removed: WGS**.

Standout performers on the list include **10x Genomics (TXG) +305.7%**, **Snowflake (SNOW) +84.1%**, **Okta (OKTA) +111.9%**, **Atlassian (TEAM) +62.1%** and **Cheesecake Factory (CAKE) +61.9%**. The recently added **Energy** cluster (MPC, VLO, DINO, PSX, SHEL, CVI, PBF) is roughly flat to modestly mixed after about a week, while newer **Digital Assets** names (COIN -2.5%, CRCL -8.0%, HOOD -4.1%) and **Raspberry Pi (RPBPF -13.7%)** are the laggards.

OTHER RESEARCH

ETF Pro Plus, Crypto Quant, Digital Assets & Events

Various | Sep 29, 18:27-22:54 GMT+8

ETF Pro Plus - 5 changes (22:21): adding longs in **US Critical Tech (CRTC)**, **Technology (XLK)** and **Quantum Tech (QTUM)**; covering shorts in **Global Airlines (JETS, 27.14-29.45)** and **Industrials Momentum (PRN, 188.0-206.0)**. A notable tilt back toward large-cap tech exposure.

Crypto Quant (20:08): **BTC +1%**, **ETH +1.7%**, with price **holding above the ETF cost basis**; headlines include **Coinbase's DCO approval** and **SEC commentary on token buybacks**. (Body is image-based; summarized from the headline.)

Digital Assets: the **Weekly Exchange Tracker (19:00)** was published, and the **Position Monitor (18:27)** reported **no changes** this week.

Event: an exclusive **Q&A session with Keith McCullough** was held at **11AM ET (23:00 GMT+8)**. The Macro Show video post (19:44) is covered via the Summary Notes above.

Yesterday's Publications (Sep 28, GMT+8)

EARLY LOOK

Another #Quad2 Week, It Was

Early Look | Keith McCullough | Sep 28, 19:29 GMT+8

What: Monday Early Look recapping a week of **Dollar Up, Rates Up, Gold Down** - another **#Quad2** week.

Why: Strong rate-of-change **PMI** data means **#Quad2** data can keep printing **well into October**; growth is expected to peak in **Q3 2026** and slow in **1H 2027**, punishing levered, cyclical companies as cost of capital rises.

Who: **USD, EUR, JPY, CAD, MXN, COP; Gold; Treasuries; Colombia (COLO, exited); Mexico (EWW, short on bounces); Financials (XLF)**.

Key numbers: **DXY +0.8% w/w (+2.1% m/m); MXN -2.8%, COP -3.9% vs USD; Gold -2.1% w/w and -3.1%** that morning after breaking **TREND**; **2yr +67bp, 10yr +53bp, 30yr +33bp** over a month; **Top-25% sales growth +2.0% vs bottom -1.5%; High Beta +2.6% vs Low Beta -2.2%; XLF -6.0%** in a month; **10yr range 5.02-5.26%, SPX 7550-7765**.

Takeaway: Own **large-cap, unlevered growth** and the Dollar; avoid levered cyclicals, Financials, Gold and EM currencies/equities while **#Quad2** persists.

KM'S TOP 3 THINGS

September 28th - Access Show, Slide Deck & Top 3 Things

The Macro Show / From the Desk | Keith McCullough | Sep 28, 20:30 GMT+8

What: "Oil Up, Rates Up, Gold Down" - Top 3: Asia, Oil, Rates.

Why: The U.S.-China "bromance" narrative did not show up in prices; Oil stays in "Macro Tourism" mode, creating buy-dip/sell-rip opportunities; the inflation nowcast keeps rising.

Who: Shanghai, KOSPI, India (INDA), Brent (BNO), TLT/ZROZ/LQD, Gold, Silver (SLV), Utilities (XLU).

Key numbers: Shanghai -1.7%; KOSPI -2.7% after failing TREND support at 7052; Sensex -1.4% (-5.7% m/m); Brent near the top of its range; SPX 7550-7765; 10yr 5.02-5.26%.

Takeaway: If you're long Oil, be **short duration**. Gold has joined Silver and Utilities in **bearish TREND**.

MOMO TRACKER

MOMO Tracker | Mag7 (-0%), High Beta Momo (+2%), TSLA=NEUTRAL, KOSPI Can't Hold Trend

Momentum Stock Tracker | Sep 28, 19:41 GMT+8

What: Daily momentum dashboard (image-based; summarized from headline).

Why: Tracks momentum/breadth in mega-cap and high-beta equities against Risk Range signals.

Who: Mag7, High Beta Momo basket, Tesla (TSLA), KOSPI.

Key numbers: Mag7 flat (-0%); High Beta Momo +2%; TSLA = NEUTRAL (turned BEARISH the next day).

Takeaway: Momentum leadership rotating toward high beta while Tesla deteriorates; Korea's failure at TREND is a warning for Asian risk.

MACRO SHOW SUMMARY NOTES

Summary Notes & Replay | Monday, September 28th, 2026

The Macro Show | Keith McCullough & Daryl Jones | Sep 28, 22:11 GMT+8

What: Monday show summary with several **position changes**: exiting **Gold**, adding **crack refiners (CRAK)**, new long **Cybersecurity (BUG)**, and selling **low-vol/high-dividend** exposure.

Why: A **late-cycle Quad 2** - GDP running around **3.5-4%** with strong PMIs - is pushing yields higher just as growth approaches its peak, hurting duration, credit, small caps and 60/40 portfolios.

Who: Bullish: **BNO, XLV, AAPL, MSFT, BTC, CRAK, BUG**. Bearish: **INDA, TLT, ZROZ, LQD, HYG, EWG, EWL, QAT, EWW**.

Key numbers: Shanghai ~-3.25% m/m; SPX about **8 units downside per 1 unit upside** in range; negative-gamma threshold near **SPX 7658**; short-dated vol around **14**; **10yr ~5.02%**; BTC buy level near **80,416**.

Takeaway: Stay long inflation-sensitive assets (Oil, Bitcoin) and select large-cap growth/healthcare vs. short duration, credit, small caps and weak international markets; **short Mexico (EWW)** as the peso breaks down.

CAPITAL ALLOCATION PRO

Daily Dashboard | Model Portfolios

Capital Allocation Pro | Sep 28, 21:17 GMT+8

What: Routine daily dashboard for the CAP Model Portfolios.

Why: Provides the daily brief, scorecard and model portfolio weights.

Who: Andrew Nanai, David Salem (Hedgeye Asset Management).

Key numbers: Tables are image/PDF only; not extracted.

Takeaway: No standalone change on this dashboard - the **9/28 model changes** were announced later that day (see Today).

SIGNAL STRENGTH STOCKS

Signal Strength Stocks: 53 Stocks (3 added, 8 removed)

Signal Strength Stocks | Sep 28, 23:45 GMT+8

What: List update: **3 added, 8 removed**, leaving **53 stocks**.

Why: Hedgeye's cross-sector list of highest-conviction single-stock signals.

Who: Added names appear to include **Cronos (CRON)**, **Curaleaf (CURLF)** and **PBF Energy (PBF)** (entry date 9/28 on the current list); removed names were not extractable.

Key numbers: **53** stocks after **8** removals - a notable pruning.

Takeaway: Net pruning of the list is consistent with a more selective, #Quad2-aware single-stock stance.

OTHER RESEARCH

ETF Pro Plus (Weekly Report & 4 Changes), Crypto Quant

Various | Sep 28, 07:29-22:28 GMT+8

What: **ETF Pro Plus 4 changes:** adding shorts in **Financials (XLF)** and **Mexico (EWW)**; removing longs in **Physical Gold (AAAU, 41.08-43.50)** and **Brazil (EWZ, 36.09-38.50)**. The **Weekly Report** listed **21 longs** and **19 shorts**. **Crypto Quant:** **BTC -1.1%**, ETF inflows **+\$3.03B** w/w, ETH's last "normal" upgrade, and **Circle (CRCL)**'s CFO and co-founder departing.

Why: Gold and Brazil broke TRADE/TREND under a strong Dollar; Financials and Mexico screen bearish under #Quad2.

Who: Key weekly longs: **CLOX, CLOZ, XLV, IGV, IBIT, ETHA, XLE, PFIX, BNO, CRAK, BUG**. Key shorts: **TLT, ZROZ, LQD, HYG, IWM, XLY, XLI, XLU, INDA, EWG, EWL, QAT**.

Key numbers: **IBIT \$47.57** (range \$43.04-\$51.01); **PFIX \$58.43** (\$52.09-\$59.34); **TLT \$79.32** (\$78.46-\$81.79); **IWM \$281.97** (\$277-\$288).

Takeaway: The ETF book is a clean expression of #Quad2: long energy, healthcare, crypto and rate-volatility; short duration, credit, small caps and rate-sensitive/international equities.